

India Can Become a Large Global Manufacturing Economy

Romal Shetty, CEO of Deloitte South Asia, on the findings of the deep-dive into India Inc's manufacturing prowess and what it will take for the country to become a factory to the world

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AS THIS SPECIAL edition highlights, India's manufacturing story is no longer defined by scale alone. It is increasingly being shaped by the ambition of companies, large and small, to build products across sectors, not only for India but for markets around the world.

The *Business Today*-Deloitte India study that forms the foundation of this company-focused edition captures this transformation in detail. Drawing on an analysis of more than 5,000 listed and unlisted firms, it ranks nearly 700 manufacturers and provides a comprehensive view of how India's manufacturing landscape has evolved over the past decade.

Against this backdrop, Siddharth Zarabi spoke with Romal Shetty, CEO of Deloitte South Asia and a member of Deloitte's Global Executive Committee,

to put these trends and numbers into perspective. Bringing insights from Indian boardrooms as well as global markets, Shetty discusses the next phase of India's manufacturing journey and what it will take to translate the country's growing momentum into sustained global leadership. Edited excerpts:



Having looked at this universe of companies, what does the data tell you?

What the study really does is point to the scale, profitability and financial discipline of the companies surveyed. The best manufacturers are not just growing bigger; they are growing in a way that funds their next phase of growth.

Three drivers stand out in this study. One is scale with purpose, which means building market position, not just volume. Then there is profitable growth—converting revenue into healthy margins and returns. And finally, financial discipline—generating cash, keeping debt under control, and reinvesting in capacity and innovation.

This is especially visible in sectors like electronics, automobiles and capital goods, where leading companies have created a virtuous cycle of growth, cash generation and investment.

And the interesting thing about the study is what it tells us about smaller and emerging manufacturers. The lesson there is: do not chase scale before building financial resilience.

So, strong balance sheets, disciplined cash management and investment in technology are what will enable these companies to compete globally.



Is Indian manufacturing at a genuine inflection point?

India has expanded its manufacturing capacity, investment and exports. The story over the last decade is one of meaningful structural progress, but there is some unfinished transformation. We have expanded capacity, attracted a lot of investment and built globally competitive industries. The next phase should focus on deeper value creation rather than volume alone.

The sectors where the transformation is real are technology-led manufacturing—whether it is electronics, semiconductors, automobiles, pharma or defence. These have evolved into strategic sectors and have been supported by advanced manufacturing, automation and digital technologies. India is increasingly positioned as